

It again highlighted the misconception that to make money in the stock market you need a lot of money to start with, or that you need to do a lot of work to invest. It just isn't true, and the sooner investors in training realise that they do not need a net worth of \$1 million to begin investing, the better.

Now that we have the most popular investment types down, are there any other investments to consider?

Commodities and alternative investments

To put it simply, commodities are types of investments that help provide more diversification and they help to hedge against inflation. We don't like inflation in the stock market as it can cause stock prices to pull down. It sounds a bit counterintuitive as inflation is known to raise prices of goods and services — but for a company, this means more costly materials and thus lower profits, hence lower share prices. Commodities are stocks in physical things: metals like gold and silver, agricultural products like wheat and livestock, and energy like crude oil and natural gas. You can buy commodities directly, and the most common way to do so is through stocks or funds (e.g. an energy ETF).

Alternative investments

While traditional investing methods include stocks, bonds and cash, alternative methods include non-traditional approaches to investing. (Technically, hedge funds are alternative investments but I felt like they deserved a section of their own.)

Items such as art, cars, handbags, cryptocurrency and NFTs (the latter two are covered more in [chapter 11](#)) are also alternative investments.

That's right. Even luxury bags can be alternative investments. Hermès Birkin bags are so rare they can outperform the market. A crocodile skin Birkin, which can cost anywhere between \$60 000 and \$200 000, can see an annual return of 14.2 per cent. According to BagHunter, Birkin bags have outperformed the S&P 500 for the last 35 years. The most expensive purchase was a white gold and diamond Birkin selling for \$372 000 in 2016. (Now it makes sense why Kris Jenner's wardrobe features a neon sign saying 'Need Money for Birkin'.)